

ORIGINAL

(S E R V E D)
(APRIL 16, 1999)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 94-01

CERES MARINE TERMINAL, INC.

v.

MARYLAND PORT ADMINISTRATION

A Petition to establish a "Chinese Wall" between the Federal Maritime Commission and its Office of the General Counsel is denied.

Eugene D. Gulland, David W. Addis, Michael L. Rosenthal, Edward R. Hargadon, M. Catherine Orleman, and Deborah M. Levine for Petitioner Maryland Port Administration.

Robert T. Basseches, David B. Cook, and Eric C. Jeffrey for Respondent Ceres Marine Terminal, Inc.

REPORT AND ORDER DENYING PETITION AND ORDERING SUBMISSIONS
ADDRESSING A PROCEDURE ON REMAND

BY THE COMMISSION: (*Harold J. Creel, Jr., Chairman; Ming C. Hsu, John A. Moran, and Delmond J.H. Won, Commissioners*)

BACKGROUND

This proceeding began with the filing of a complaint before the Federal Maritime Commission ("Commission" or "FMC") by Ceres Marine Terminal, Inc. ("*Ceres*") against the Maryland Port Administration ("MPA"), in which Ceres alleged that MPA had violated several provisions of the Shipping Act of 1984 ("Shipping

Act" or "Act"), 46 U.S.C. app. § 1702 et seq., by providing lease terms to other parties that were more favorable than the lease terms that were made available to Ceres. MPA presented many defenses against Ceres' complaint, one of which was that Ceres had voluntarily entered into its lease agreement with MPA and was therefore estopped from bringing a Shipping Act claim against MPA.

The proceeding was first heard by an administrative law judge ("ALJ"). MPA filed a motion to dismiss before the ALJ, arguing inter alia, that Ceres entered into the lease with full knowledge of the terms and conditions of other leases, and operated under its lease for eighteen months before filing a complaint with the FMC. MPA argued that the FMC should not countenance litigation to "reform" a freely negotiated contract, and that on this basis Ceres' complaint should not be permitted to go forward. The ALJ denied MPA's motion to dismiss. ALJ Order of May 20, 1994, 26 S.R.R. 1416. Later in the proceeding, MPA again argued to the ALJ that principles of estoppel should preclude Ceres' challenge to the lease. See Respondent MPA's Post-Hearing Memorandum of Law, May 6, 1996 at 53-58. The ALJ issued an Initial Decision in which he determined that MPA had violated the Shipping Act. Ceres Marine Terminal, Inc. v. Maryland Port Admin., 27 S.R.R. 695 (I.D. 1996). In the Initial Decision, the ALJ did not address the estoppel issue.

MPA filed exceptions to the Initial Decision, which included

among many defenses and twelve specific exceptions, a reassertion of its position on estoppel, in which it noted that the ALJ had failed to address the issue. Upon review of MPA's exceptions and Ceres' reply, the Commission determined that the Initial Decision was inadequate, and determined to review the proceeding de novo. Ceres Marine Terminal, Inc. v. Maryland Port Admin., 27 S.R.R. 1251 (1997). On review, the Commission decided that MPA had violated the Act by, inter alia, unreasonably discriminating against Ceres by refusing to grant the favorable lease terms it had granted to another party to Ceres on the basis of Ceres' status as a marine terminal operator. The Commission ordered that the proceeding be remanded to the Office of Administrative Law Judges for reassignment and for a determination of the damages due Ceres. The Commission's lengthy discussion gave MPA's estoppel defense little response, stating only that it would not penalize Ceres for waiting one and a half years after signing the lease before bringing a Shipping Act claim, "since doing so would, in effect, amount to penalizing a party for waiting the full statutory period of limitation before bringing a claim." 27 S.R.R. at 1276-7 n.59.

On October 20, 1997, MPA appealed the Commission's decision to the United States Court of Appeals for the Fourth Circuit. On October 27, 1997, Ceres filed a motion for leave to intervene as of right pursuant to Federal Rule of Appellate Procedure 15(d). The Fourth Circuit granted Ceres' motion on October 29, 1997.

Counsel for Ceres and staff attorneys from the FMC's Office of the General Counsel cooperated in the appeals process. MPA now alleges that ex parte contacts and post hoc rationalizations arose from that cooperation. Accordingly, we will explain the genesis and occurrence of the cooperation in some detail here.

The Fourth Circuit issued an order on November 12, 1997, which indicated, consistent with ordinary Fourth Circuit practice, that "all parties to a side shall join in a single brief" unless good cause was shown for the filing of separate briefs. As an intervenor in support of the Commission's decision, Ceres was considered to be on the same side as the Commission. However, the FMC and Ceres did not wish to file a single brief, and indicated this to the Fourth Circuit by filing a "Consent Motion of Respondents and Intervenor for Leave to File Two Separate Briefs" on November 24, 1997. Ceres and the FMC argued that the FMC's role in the case was different from that of an interested private party like Ceres:

Ceres' interest is in upholding the decision of the FMC on any ground available in order to retain its entitlement to substantial reparations. By contrast, the FMC's interest is primarily in the fair and correct application of the law it is charged with enforcing and the rules that govern its adjudicatory proceedings.

Motion at 3-4. The FMC and Ceres therefore requested that the Fourth Circuit grant them leave to file separate briefs. By court order of November 25, 1997, the Fourth Circuit granted the FMC and Ceres leave to file two separate briefs, but with a combined page

length equal to that of a single brief.

On January 13, 1998, the FMC and Ceres filed a "Motion for Partial Reconsideration" of the Fourth Circuit's November 25, 1997 order granting the right to file separate briefs but imposing a page limit equal to that of a single brief.¹ In this motion the FMC and Ceres sought additional pages above the combined page limit imposed by the Fourth Circuit.² On January 14, 1998, MPA filed its "Opposition to Reconsideration." MPA noted in its Opposition that "no one is forcing movants to file separate briefs" and explained that the Fourth Circuit's rules permitted the FMC and Ceres to file a single joint brief. Opposition at 2. By order of January 16, 1998, the Fourth Circuit granted an additional 5 pages over the 40

¹ FMC staff and Ceres appear to have been concerned that given the size of the record in this proceeding as well as the number of discrete legal issues it involved (of which estoppel was only one), a single brief would not provide sufficient space to adequately present all of the issues, arguments, and facts relevant to the case, given the FMC's and Ceres' differing interests. The proceeding had indeed produced a massive record. The hearing before the ALJ consumed seven days and resulted in a 970-page transcript. The briefs to the ALJ, including post-hearing memoranda, proposed findings of fact, and replies, were a combined total of 498 pages (and were necessarily examined by the Commission due to the de novo nature of its review). The exceptions and reply were a combined total of 309 pages.

² In the partial reconsideration motion, the FMC and Ceres noted that they had been attempting "to coordinate their briefing so as to avoid duplication, an effort we represent will be continuing -- necessarily so, since the page limitation we herein propose will itself be highly restrictive given the number and complexity of issues raised, the massive nature of the proceeding below, and the differing perspectives represented by respondents FMC and United States on the one hand, and the private intervenor/complainant below Ceres on the other." Motion at 5.

pages permitted for a single brief. The FMC then filed a brief of 40 pages, and Ceres filed a brief of 5 pages in which it adopted the FMC's brief and incorporated it by reference.

On October 13, 1998, the Fourth Circuit issued an unpublished opinion in which it partially affirmed, and partially remanded the proceeding to the Commission. Maryland Port Admin. v. Federal Maritime Comm'n, no. 97-2418, Slip Opinion. The Fourth Circuit explained that while the Commission had addressed the issue of the effect on Ceres' complaint of its decision to wait eighteen months after signing the lease before filing a complaint, the Commission had failed to address the merits of MPA's defense that Ceres was estopped from challenging the terms of a freely negotiated lease. The proceeding was therefore remanded to the Commission "for its consideration of the MPA's claim that Ceres was estopped from challenging the terms of its lease with the MPA." Slip Op. at 10.

Before the Commission commenced work on the remand, MPA on October 23, 1998, filed its "Petition to Establish a 'Chinese Wall' or, in the Alternative, to Permit Discovery Regarding Communications Between Ceres and the Federal Maritime Commission Staff" ("MPA Petition"). Ceres filed a Reply to MPA's Petition on November 10, 1998 ("Ceres Reply"). The Commission is currently presented with the necessity of ruling on MPA's Petition before commencing with its decisionmaking process on the estoppel issue remanded by the Fourth Circuit. For the reasons set forth below,

we have determined to deny MPA's Petition.

THE PARTIES' SUBMISSIONS

A. MPA Petition

MPA styles its Petition as necessary "to preserve the integrity of the Commission's decision-making process and to safeguard MPA's procedural rights on remand." MPA Petition at 1. We are treating the Petition as one filed under Rule 73 of the Commission's Rules of Practice and Procedure.³

The gist of MPA's request is that the Commission should establish a Chinese Wall between the Commissioners (and their staff) and other agency staff who "participated in the preparation or review of the Commission's brief and argument to the Fourth Circuit." MPA Petition at 1. This would ostensibly include not only the attorneys participating in the briefs and argument, but the agency's General Counsel as well. MPA alleges that this Chinese Wall is necessary to prevent the Commission's decisionmaking process in the remanded proceeding from becoming tainted by ex parte communications and post hoc rationalizations allegedly engaged in by agency staff working in collaboration with counsel for Ceres. Alternatively, MPA requests that the Commission

³ Rule 73 provides that "an application or request for an order or ruling not specifically provided for in this part shall be by motion If the proceeding is not before the presiding officer, motions shall be designated as 'petitions' and shall be addressed to and passed upon by the Commission." 46 C.F.R. § 502.73(a). MPA captioned its request for a Chinese Wall as a "petition" consistent with the requirements of Rule 73.

grant it the opportunity to engage in discovery or otherwise create a factual record to prove that arguments presented to the Fourth Circuit were the product of collaboration between agency staff and counsel for Ceres.

MPA argues that FMC staff and Ceres counsel collaborated closely, and provides examples of this collaboration by noting that the two parties filed joint motions with the Fourth Circuit, and that such motions were sometimes signed by Ceres on behalf of the FMC. MPA further states that it "does not suggest that it was improper for Commission counsel and Ceres lawyers to cooperate," and notes that such collaboration is encouraged by the Fourth Circuit. MPA Petition at 4. MPA alleges, however, that the arguments that arose out of that collaboration were post hoc rationalizations "devised by the lawyers" that "bore no relation to anything in the Commission's decision." *Id.* MPA argues that FMC staff who participated in crafting the arguments made to the Fourth Circuit should not be involved in drafting the Commission's remand decision or in advising the Commission as to the issues involved.

1. Statutory Administrative Law Requirements and Due Process

MPA first alleges that agency staff "must not participate in the adjudication of a matter in which they have acted as advocates or have played an investigative role." *Id.* at 4-5. MPA contends that its request for a Chinese Wall is required by principles of administrative law. MPA argues that the Administrative Procedure

Act ("APA"), 5 U.S.C. § 554(d), as well as judicial precedent, Utica Packing Co. v. Block, 781 F.2d 71, 76 (6th Cir. 1986), Grolier Inc. v. Federal Trade Comm'n, 615 F.2d 1215, 1219-20 (9th Cir. 1980), forbid agency personnel who have engaged in an investigatory or prosecutorial function from then participating in the adjudicative function of a proceeding.⁴ MPA alleges that FMC staff before the Fourth Circuit "were acting as prosecutors with an adversary 'will to win.'" Id. at 5. MPA claims that FMC staff, in collaboration with counsel for Ceres, advocated that MPA had violated the Shipping Act based on theories never accepted by the Commission. MPA avers that under section 554(d), this situation

⁴ Section 554(d) provides that
The employee who presides at the reception of evidence pursuant to section 556 of this title shall make the recommended decision or initial decision required by section 557 of this title, unless he becomes unavailable to the agency. Except to the extent required for the disposition of ex parte matters as authorized by law, such an employee may not -

(1) consult a person or party on a fact in issue, unless on notice and opportunity for all parties to participate; or
(2) be responsible to or subject to the supervision or direction of an employee or agent engaged in the performance of investigative or prosecuting functions for an agency. An employee or agent engaged in the performance of investigative or prosecuting functions for an agency in a case may not, in that or a factually related case, participate or advise in the decision, recommended decision, or agency review pursuant to section 557 of this title, except as witness or counsel in public proceedings. This subsection does not apply -

(A) in determining applications for initial licenses;
(B) to proceedings involving the validity or application of rates, facilities, or practices of public utilities or carriers; or
(C) to the agency or a member or members of the body comprising the agency.

precludes from further adjudicative participation anyone who had contact with ex parte information or who developed an adversarial "will to win." Id. at 5-6. MPA contends that the role of FMC lawyers in arguing a case before the Fourth Circuit is encompassed by the prosecutorial function definition, and that the role of FMC lawyers in advising the Commission as to complaint cases falls within the term "adjudicator."

MPA further argues that due process principles require that advocates must not serve in the adjudication of related issues. MPA cites American General Ins. Co. v. Federal Trade Comm'n, 589 F.2d 462 (9th Cir. 1979); American Cyanamid Co. v. Federal Trade Comm'n, 363 F.2d 757 (6th Cir. 1966); Amos Treat & Co. v. Securities and Exchange Comm'n, 306 F.2d 260 (D.C. Cir. 1962); and Trans World Airlines v. Civil Aeronautics Bd., 254 F.2d 90 (D.C. Cir. 1958), for this proposition.

2. Ex Parte Communications

MPA avers that FMC staff who participated in the Fourth Circuit case must be prevented from tainting the Commission with ex parte communications allegedly made between FMC staff and counsel for Ceres. MPA alleges that the APA, at section 557(d)(1), prohibits the spread of ex parte communications between agency decisionmakers and interested persons outside of the agency.⁵ MPA

⁵ Section 557(d)(1) provides in relevant part that:
In any agency proceeding which is subject to subsection (a) of this section, except to the extent required for the disposition of ex

concedes that it does not know the extent of any ex parte communications, but further claims that "the close collaboration of Commission counsel and Ceres' lawyers makes it virtually certain that such communications occurred." Id. at 8 (emphasis added).

3. Requested Relief

In sum, MPA argues that absent some action by the Commission to exclude FMC staff who worked on the Fourth Circuit case from participating in the remanded proceeding, it will be unable to obtain a fair hearing on the estoppel issue. MPA therefore requests that the Commission exclude from the remanded proceeding all FMC staff who played a role in the Fourth Circuit case. MPA asks that the Commission identify all such persons, disclose to MPA the identity of such persons, and/or permit discovery to allow the identification of such persons. MPA further requests that such persons be excluded from participation in the remanded proceeding

parte matters as authorized by law -

(A) no interested person outside the agency shall make or knowingly cause to be made to any member of the body comprising the agency, administrative law judge, or other employee who is or may reasonably be expected to be involved in the decisional process of the proceeding, an ex parte communication relevant to the merits of the proceeding;

(B) no member of the body comprising the agency, administrative law judge, or other employee who is or may reasonably be expected to be involved in the decisional process of the proceeding, shall make or knowingly cause to be made to any interested person outside the agency an ex parte communication relevant to the merits of the proceeding.

by the erection of a Chinese Wall that would (1) forbid the insulated persons from participating in the remanded proceeding and from communicating about the matter with anyone involved in the remanded proceeding; (2) prohibit the persons involved in the remand adjudication from accessing the files of the insulated persons; and (3) require all agency personnel to comply with the prohibitions. MPA further requests that any breaches of this Chinese Wall be disclosed to all parties. Alternatively, MPA states that if the Commission determines not to erect a Chinese Wall, the Commission should grant MPA leave to engage in discovery or otherwise create a factual record to prove that arguments presented to the Fourth Circuit were the product of collaboration between agency staff and counsel for Ceres.

B. Ceres Reply

Ceres filed a Reply to MPA's Petition on November 10, 1998. In its Reply, Ceres states that it is not "necessary or appropriate" for it to take a position on the proposal to establish a Chinese Wall, but further that Ceres will use its Reply to address what it characterizes as MPA's "clearly erroneous assertions." Ceres Reply at 1.

1. Ex Parte Communications

Ceres first addresses MPA's contentions regarding the alleged ex parte communications between Ceres and FMC staff. Ceres points out that the prohibitions on ex parte contacts apply only to

communications made in an agency proceeding, and that at the time of the Fourth Circuit litigation, the agency proceeding was over, as the Commission had issued its final decision. Ceres thus contends that there was no agency proceeding going on at the time of the alleged ex parte contacts, rendering them outside the definition of ex parte.

Next, Ceres notes that the collaboration between it and FMC staff was encouraged by the Fourth Circuit's rules.

Finally, Ceres avers that the definition of the term ex parte does not apply to the communications between FMC staff and Ceres. Ceres avers that ex parte is defined in section 551 of the APA as "an oral or written communication not on the record with respect to which reasonable prior notice to all parties is not given." 5 U.S.C. § 551(14). Ceres argues that the cooperation between it and the FMC staff was public, so that MPA had notice of the purported ex parte communications. Ceres also notes that MPA itself encouraged the collaboration between Ceres and the FMC staff, rather than acceding to the filing of separate briefs.

Ceres concludes that ex parte rules do not apply to collaboration between an agency's appellate counsel and an aligned intervenor; that the collaboration is not subject to ex parte rules; and that having encouraged the collaboration, MPA is not in a position to criticize it now.

2. Counsel as "Advocates"

Ceres argues that the cases cited by MPA in support of its argument that FMC staff acted as advocates or investigators in fact involve either a breach of internal agency separation of functions between prosecutors and adjudicators, or a situation where an agency's court advocate became a member of the agency. Ceres alleges that neither of these scenarios is similar to the situation in this proceeding, so that the cases cited by MPA are simply not applicable. Ceres also argues that the FMC's structure of having a single General Counsel's office to handle both advising the Commissioners and conducting appellate litigation is commonplace.

3. Post Hoc Rationalizations

Ceres next addresses MPA's assertions that the arguments presented to the Fourth Circuit by the FMC and Ceres are tainted post hoc rationalizations. Ceres argues that while a court must not defer to a rationale that was not the agency's, on remand the agency is expected to consider the rationale that was presented in its brief. Ceres cites Securities and Exchange Comm'n v. Chenery Corp., 318 U.S. 80 (1943), where the Supreme Court remanded a case for further agency consideration, refusing to affirm the agency's decision on a ground not advanced in that decision itself but solely in the agency's brief. Ceres contends that on remand the SEC essentially adopted the rationale advanced in its brief, and that this decision was affirmed by the Court in Securities and

Exchange Comm'n v. Chenery Corp., 332 U.S. 194 (1947).

4. Conclusion

Ceres concludes that the collaboration between it and FMC staff did not involve ex parte communications, and that the Commission may consider all rationales in reaching a decision on the remanded estoppel issue. Ceres again states that it will not take a position on the establishment of the Chinese Wall, which it views as a matter of internal agency policy.⁶

DISCUSSION

The Petition presents the issue of whether collaboration between an agency's staff and an outside intervenor in an appeals case could have the subsequent effect of precluding the participation of that agency staff when the case is remanded to the agency by the appeals court. MPA argues that unless the Commission is screened off from FMC staff who participated in the Fourth Circuit proceeding, MPA will not be able to obtain a fair hearing on the remanded estoppel issue. The gist of Ceres' Reply is that while it has no opinion on the issue of whether a Chinese Wall should be established, as that is a matter of internal agency policy, the collaboration between it and FMC staff was not

⁶ Subsequent to the submission of its Reply, Ceres filed its "Request of Ceres Marine Terminals, Inc. that the Commission Establish Procedures for Disposition on Remand," filed on December 18, 1998. In this Request, Ceres asks the Commission to grant it and MPA ten days after the issuance of the ruling on the MPA Petition to attempt to agree on a procedure and timetable with which to handle the remanded estoppel issue.

improper. To this end, Ceres presents a number of arguments attacking MPA's assertions that ex parte communications took place. Ceres is also concerned that the Commission consider all options as to the estoppel issue, and thus Ceres asserts that the reasoning presented in the FMC's brief regarding estoppel is not "tainted," but in fact may be used in reaching a determination on that issue on remand.

We will first address whether permitting FMC staff attorneys to participate in the decisionmaking process of a complaint case as well as in judicial litigation arising from that case presents separation of functions or due process problems. We will then address the ex parte contacts MPA believes occurred between FMC staff and Ceres. We will next examine whether post hoc rationalizations are forbidden on the Commission's remand consideration of the estoppel issue, and will address whether MPA's request for discovery has any merit. Finally, we will request that the parties propose a procedure for the Commission's remand consideration of the estoppel issue.

As a preliminary matter, it is useful to note that there is a presumption that agency decisionmaking is fair and impartial. Withrow v. Larkin, 421 U.S. 35 (1975). See also Boston v. Webb, 783 F.2d 1163, 1166 (4th Cir. 1986) ("[T]here is a presumption that government officials can and will decide particular controversies conscientiously and fairly despite earlier involvement in their

investigation."); Morris v. City of Danville, Virginia, 744 F.2d 1041 (4th Cir. 1984) (administrative decisionmakers are entitled to a presumption of honesty and integrity); Ash Grove Cement Co. v. Federal Trade Comm'n, 577 F.2d 1368, 1376 (9th Cir. 1978) ("Claims that an administrative agency is impermissibly biased because of its combination of investigative and adjudicative functions must overcome a presumption of honesty and integrity on the part of the decisionmaker."). It is against this backdrop that we consider MPA's assertions that the Commission's decisionmaking process will be compromised by the participation of certain members of its staff.

1. Separation of functions

(a). Section 554(d) of the APA

The gravamen of MPA's argument as to separation of functions is that the APA and judicial precedent forbid agency personnel who have engaged in an investigatory or prosecutorial function from participating in the adjudicative function of a proceeding.⁷

⁷ Although MPA premises its Petition on the notion that the collaboration between FMC staff and Ceres has led to the possibility of the Commission's decisionmaking process becoming tainted, it appears that MPA's bottom line position is that even absent such collaboration, an agency attorney-advisor who worked on an appeals case may not participate in the remanded proceeding. See MPA Petition at 4-5 ("Even in the absence of the aggravating circumstances here - collaboration between Commission counsel and Ceres lawyers in presenting post hoc rationalizations - it is settled that agency personnel must not participate in the adjudication of a matter in which they have acted as advocates or have played an investigative role.")

Section 554(d) of the APA provides in relevant part that

[a]n employee or agent engaged in the performance of investigative or prosecuting functions for an agency in a case may not, in that or a factually related case, participate or advise in the decision, recommended decision, or agency review pursuant to section 557 of this title, except as witness or counsel in public proceedings. This subsection does not apply . . .

(C) to the agency or a member or members of the body comprising the agency.

While this principle of separation of functions is certainly well established, the precise inquiry at hand is whether FMC staff in this proceeding can be said to have "engaged in the performance of investigative or prosecuting functions" by representing the Commission before the Fourth Circuit. MPA argues that FMC staff developed a "will to win" and had contact with ex parte information, and that FMC staff were therefore "prosecutors."⁸ MPA Petition at 5. According to MPA, the staff "allied themselves with the complainant, Ceres, and they jointly advocated that MPA had violated the Shipping Act on the basis of theories that have not been accepted by the Commission." MPA Petition at 5.⁹ Ceres

⁸ This portion of our discussion will address the separation of functions/"will to win" arguments presented by MPA. MPA also argues that contact with ex parte information can render FMC staff "prosecutors" for the purpose of a separation of functions analysis. See MPA Petition at 5. Our conclusion, explained infra in section 2 of the Discussion, that ex parte contacts by definition could not have occurred, serves to address and dispose of this argument.

⁹ Because the staff's arguments on estoppel were the only arguments found to be post hoc by the Fourth Circuit, we assume that "theories that have not been accepted by the Commission" refers to such arguments. The decision on estoppel is not itself

argues that the cases cited by MPA do not conform to the facts of this proceeding and are inapposite.

MPA relies on judicial interpretation of the APA to support its argument that FMC staff acted as prosecutors for the purpose of a section 554(d) analysis. MPA seeks to bring the Commission under section 554(d)'s proscriptions via the holdings in Utica Packing Co. v. Block, 781 F.2d 71 (6th Cir. 1986) ("Utica Packing"), and Grolier, Inc. v. Federal Trade Comm'n, 615 F.2d 1215 (9th Cir. 1980) ("Grolier"), which found that agency attorney-advisors can fall under the APA's definition of investigators or prosecutors, as well as under the definition of adjudicators.

Utica Packing is correctly cited for the proposition that section 554(d) aims to separate prosecutorial and investigative functions from adjudicative functions, although the thrust of the opinion is that the agency's removal of a career judicial officer who had rendered a final decision, and the agency's presentation of a petition for reconsideration to his noncareer replacement, is a denial of due process. But absent a showing that prosecutorial or investigative functions were actually involved in the representation of the Commission on appeal, Utica Packing's interpretation of section 554(d) is not relevant. The court in

a Shipping Act violation, but rather a threshold determination. MPA contends that Ceres may not challenge the terms of a freely-negotiated lease; a finding in favor of this position would thus preclude a complaint, and consequently a finding, that Shipping Act violations occurred.

Utica Packing said:

In order for § 554(d) to cause disqualification where the adjudicator was not actually a prosecutor or investigator in the case or a factually related one, the person challenging his right to adjudicate has the burden of showing that some past involvement has acquainted him with ex parte information or engendered in him an unjudgelike "will to win."

781 F.2d at 76. This is a burden we have concluded MPA has not met. MPA does not explain the nature of the "will to win" it believes the FMC staff developed in this case; it also acknowledges that it has no idea of the extent, if any, of ex parte communications.

It does not appear that one could correctly define the role of FMC staff in this proceeding as "prosecutorial."¹⁰ The role of the FMC staff was to convince the Fourth Circuit that the Commission was correct in finding that MPA had violated the Shipping Act, and that Ceres' complaint was not precluded on the basis of estoppel. FMC staff were advocates to the extent they argued that the Commission had made the correct decision. In no sense does this make the FMC staff analogous to prosecutors. The staff were not attempting, in a prosecutorial manner, to establish that MPA had

¹⁰ "An individual who engages in judicial proceedings on behalf of an agency probably should not be treated as an adversary for the purposes of advising the agency in subsequent administrative proceedings. . . . [J]udicial advocacy defending a final agency decision on substantive issues would not necessarily result in an inability to furnish objective advice in subsequent proceedings." Michael Asimow, When the Curtain Falls: Separation of Function in the Federal Administrative Agencies, 81 Colum. L. Rev. 759, 777 (1981) (citing the Attorney General's Manual on the APA (1947) at 58 n.8, but also conceding that the issue is "debatable").

violated the Shipping Act. Ceres had already met that burden before the ALJ and the Commission. FMC staff were instead attempting to establish that the Commission did not err in making that finding.¹¹ MPA itself admits that the staff's role is to defend the FMC's decision in court: "[the Commission's] brief attempted to defend the Commission's rejection of MPA's estoppel defense by presenting six pages of detailed arguments against MPA's position." MPA Petition at 2 (emphasis added).

MPA's unexplicated argument that the FMC staff developed a "will to win" that transformed them into prosecutors is not convincing. The job description of the agency staff attorney is to defend the Commission's position in court, no matter what that position is. The "will to win" in this context is a will to show that the agency was correct in its decision.¹² This is distinguished from an investigator or prosecutor, who develops "a psychological commitment to achieving a particular result" (e.g., finding a party committed violations the investigator believes he

¹¹ The Commission's regulations describing its organization and functions indicate that the Office of the General Counsel "[s]erves as the legal representative of the Commission in courts and in administrative proceedings before other Government agencies." 46 C.F.R. § 501.5(d)(5) (1998).

¹² It is advocacy on the behalf of a particular side, as distinguished from a particular issue, which has been seen as the basis for the disqualification in Utica Packing. See Petrousky v. United States, 728 F.Supp. 890, 895 (N.D.N.Y. 1990) (disqualification appropriate where "one individual is in the position of deciding a case in favor of the side which he represents or recently represented").

uncovered) and then attempts to effect that outcome. Asimow, supra note 10, at 773.¹³

Grolier undercuts MPA's assertions as well.¹⁴ First, the case involved the issue of whether a former agency attorney-advisor who became an ALJ should be forbidden from participating in an

¹³ If on remand the Commission were to find that Ceres was estopped, and that finding were appealed, then the staff would be equally charged with proving that the Commission was correct in finding Ceres estopped. In such a situation it would likely be the case that the FMC staff, pursuant to court rules, would become "allied" with MPA if MPA chose to intervene in support of the Commission's decision. Thus, if MPA's position were upheld as to the need to establish a Chinese Wall in this situation, it is conceivable that, after only a few appeals and given the small size of the Commission generally, the Office of the General Counsel would have no one left to work on the case, as its staff would be walled off from the Commission on various issues. As of March 1999, the General Counsel's staff consisted of seven attorneys. Also, while we note below that it is the Commissioners who make the decisions in complaint cases, MPA's proposed Chinese Wall would deprive the Commissioners of the attorneys most familiar with this case and its intricacies. Compare James O. Freedman, Expertise and the Administrative Process, 28 Admin. L. Rev. 363 (1976): "The continuing expertness of an administrative agency as to matters of technical substance can be more properly understood as deriving primarily from its staff, and not from the shifting membership of those who temporarily serve as commissioners." The Fourth Circuit has expressed a desire for the Commission to provide "the benefit of its expertise" on the remanded estoppel issue. Slip Op. at 7. Depriving the Commission of its legal experts would thwart, not serve, the court's instructions.

¹⁴ The passage in Grolier most favorable to MPA states that "by forbidding adjudication by persons 'engaged in the performance of investigative or prosecuting functions,' Congress intended to preclude from decisionmaking in a particular case not only individuals with the title of 'investigator' or 'prosecutor,' but all persons who had, in that or a factually related case, been involved with ex parte information, or who had developed, by prior involvement with the case, a 'will to win.' An attorney-advisor may, therefore, come within the prohibition of section 554(d) if he has had such involvement." 615 F.2d at 1220.

adjudication involving matters as to which he acted as an investigator while still an attorney-advisor. The FMC staff MPA seeks to exclude from the remanded proceeding have not become ALJs, and, as explained above, did not act as investigators or prosecutors in this proceeding. The attorney-advisor's promotion to ALJ as decision-maker has been seen as the dispositive foundation of Grolier. See Gibson v. Federal Trade Comm'n, 682 F.2d 554, 563 (5th Cir. 1982).

Another important distinction between Grolier and the proceeding before this Commission is that Grolier involved an agency-initiated investigation. "[T]he FTC issued an administrative complaint charging Grolier with unfair methods of competition and unfair or deceptive acts or practices." 615 F.2d at 1217. This is distinguished from the present proceeding, in which the Commission acted purely as an adjudicatory body and never undertook to investigate MPA for any of the actions alleged by Ceres to have been in violation of the Shipping Act.¹⁵ Unlike what

¹⁵ The Commission does have a separate bureau for conducting investigations and prosecuting alleged violations of the Shipping Act. See 46 C.F.R. § 501.5(i) (1998). This is the Bureau of Enforcement, which participated, entirely independently of the General Counsel's staff, in the proceeding. See Ceres Marine Terminal, Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1252 (1997) ("The Commission's Bureau of Enforcement . . . sought and was granted permission for leave to intervene in this proceeding for the limited purpose of addressing legal issues.") MPA has not alleged that the prosecutors and investigators from this Bureau engaged in any cooperative efforts with Ceres during the appellate stage of the proceeding; however, it is this Bureau which pursues the sort of investigations and prosecutions that form the backdrop

took place in Grolier, the Commission was not prosecuting MPA. Subsequent events in Grolier indicate that the court was primarily concerned with the prosecutorial nature of the agency case. See Grolier, Inc. v. Federal Trade Comm'n, 699 F.2d 983, 986 (9th Cir. 1983) (explaining the focus on events leading to the agency's decision to prosecute in examining the disqualification issue).

In Grolier, the FTC had argued that section 554(d)(2)(C) of the APA exempts attorney-advisors from the restrictions as to separation of functions, due to the necessarily close relationship between attorney-advisors and agency members. The court noted that "[t]his argument would be compelling if made on behalf of an attorney-advisor . . . who must counsel the member at both the investigative and decisionmaking stages of a case." 615 F.2d 1215, 1220. The court went on to say that because the attorney in question had become an ALJ, the FTC's argument in this regard could not be accepted. We note that the court's language suggests that even if this proceeding did have an investigative stage (which it did not), the FMC staff could be covered by section 554(d)(2)(C)'s exemption as long as they remained staff attorneys. For these reasons, we have found that the Grolier case does not support MPA's arguments. MPA's secondary claim that it should be granted discovery in the event a Chinese Wall is not erected also finds no support in Grolier, as the court noted "[w]e do not say that the

for the case law cited by MPA.

FTC must grant discovery." 615 F.2d at 1222. See our further discussion of this issue, infra, in section 4.

Furthermore, we have serious doubt about the applicability of Grolier in any event. One commentator has called the opinion "[a]n extreme interpretation of the APA, unsupported by other law." III Kenneth C. Davis, Administrative Law Treatise § 18.5, at 359 (2nd ed. 1980). Professor Davis pointed out that Grolier's holding (that a commissioner's assistant, after becoming an ALJ, can be disqualified from a proceeding because prior to elevating to ALJ status he may have advised the commissioner about the issuance of a complaint) is inconsistent with the fact that the commissioner himself is not disqualified by voting to issue the complaint. Id.

Our conclusion about the Grolier case is that if it is valid law, then, as mentioned above, it appears to say that attorney-advisors are exempted from separation of functions requirements by section 554(d)(2)(C) of the APA. However, as we have explained, it is inapplicable on its facts.

Finally, MPA's assertion that FMC staff "allied themselves" with Ceres is somewhat misleading; the parties appear to have made every effort to remain separate, but were in fact allied by the Fourth Circuit's rules as to intervenors and respondents on the same side. This alliance, furthermore, was actively encouraged by MPA itself. See Opposition to Reconsideration, January 14, 1998, at 2.

In sum, the Commission concludes that MPA has failed to demonstrate that FMC staff acted as prosecutors or investigators in this proceeding. Absent such a showing, section 554(d)'s separation of functions requirements do not preclude the participation of the FMC legal staff in the remand proceeding, and do not require that a Chinese Wall be erected.

(b). Due Process

MPA also alleges, in a single sentence followed by a string citation, that due process considerations require that "those who have served as advocates must not participate in [the] adjudication of related issues." MPA Petition at 6. As Ceres points out, Ceres Reply at 7 n.10-11, the cases MPA cites for this due process argument involve either a breach in an internal, structural separation of functions, or a situation where an agency's court advocate became a member of the agency itself. These circumstances are not present in the instant proceeding, nor do we find MPA's oblique reference to due process a compelling argument. The proposition most readily apparent from MPA's citations is that an agency member who casts a vote may not participate in a proceeding in which he has previously been involved in advocating a position. This is not the case in this proceeding, as no agency member is implicated by MPA's Petition. Furthermore, as we explain below, precedent indicates that the vesting of a combination of investigatory, prosecutorial, and judging powers in agency members,

and the attorneys who advise them, does not run afoul of due process protections; precedent also indicates that an agency's decisionmaking integrity is presumed to be sound. See supra at 16-17.

In the primary Supreme Court case on separation of functions, Withrow v. Larkin, 421 U.S. 35 (1975) ("Withrow"), a Wisconsin statute which vested both investigatory and adjudicatory functions in a State Examining Board for physicians was found to be constitutionally permissible. The Court ruled that for members of the Board to receive results of investigations, to approve filing of formal complaints instituting enforcement proceedings, and then to participate in the ensuing hearings is not a denial of due process.¹⁶ The Court stated:

Without a showing to the contrary, state administrators "are assumed to be men of conscience and intellectual discipline, capable of judging a particular controversy fairly on the basis of its own circumstances."

421 U.S. at 55 (quoting United States v. Morgan, 313 U.S. 409, 421 (1941)). The Court indicated an unwillingness to assume improper bias on the part of the Board:

The contention that the combination of investigative and adjudicative functions necessarily creates an unconstitutional risk of bias in administrative adjudication has a . . . difficult burden of persuasion to carry. It must overcome a presumption of honesty and integrity in those serving as adjudicators; and it must convince that, under a realistic appraisal of

¹⁶ The APA was not applicable to the controversy, since it was a state, not federal, regulatory scheme at issue.

psychological tendencies and human weakness, conferring investigative and adjudicative powers on the same individuals poses such a risk of actual bias or prejudgment that the practice must be forbidden

421 U.S. at 47.¹⁷

Applying the due process principles set forth in Withrow, as well as the section 554(d) (2) (C) exception for agency members, the United States Court of Appeals for the District of Columbia Circuit rejected a challenge to the combination of litigation authority and adjudicative powers exercised by the SEC. Blinder, Robinson & Co., Inc. v. Securities and Exchange Comm'n, 837 F.2d 1099 (D.C. Cir. 1988) ("Blinder"). Appellant Blinder raised a due process challenge to the SEC's practice of first going to federal court, vigorously litigating against a broker to obtain an injunction, then initiating an administrative proceeding against the broker to determine sanctions. According to Blinder, the SEC's transition from litigant (in the federal court proceeding) to judge (in the administrative proceeding) essentially made the SEC a "judge of its own claim." Blinder further argued that "the prejudice wreaked by the SEC's 'doffing its litigators hat' and 'donning judicial robes' is especially 'acute when the agency, as a litigant, has considered and rejected a settlement offer'"; moreover, he emphasized the

¹⁷ Professor Davis notes that "[t]he Supreme Court has never held a system of combined functions to be a violation of due process, and it has upheld several such systems." II Kenneth C. Davis, Administrative Law Treatise, § 9.9, at 101 (3rd ed. 1994).

likelihood of injustice "when the agency continues to engage in active litigation with the party it is judging." 837 F.2d at 1104 (quoting Petitioner's Brief).

The court rejected Blinder's due process argument as "nothing less than an assault on the constitutionality of a principle feature of the Administrative Procedure Act itself" (i.e., the exception for agency members in section 554(d)). Id. The court relied heavily on Withrow for the proposition that a combination of functions in one agency is not violative of due process.¹⁸ Declining Blinder's invitation to assume bias or prejudgment based on the combination of functions, the court found that the law assumes integrity in individual agency members, and requires direct evidence of bias, or some other personal interest, to overcome that

¹⁸ The decisions in both Withrow and Blinder downplay the significance of In re Murchison, 349 U.S. 133 (1954), for administrative agencies. In that case, the Court found that Murchison, a criminal defendant, had been denied due process when a one-man judge/grand jury compelled him to testify in secret, charged him with perjury, then tried and convicted him in open court. The Court noted:

A fair trial in a fair tribunal is a basic requirement of due process. Fairness of course requires an absence of actual bias in the trial of cases. But our system of law has always endeavored to prevent even the probability of unfairness. To that end no man can be a judge in his own case and no man is permitted to try cases where he has an interest in the outcome.

349 U.S. at 136. In Withrow, however, the Court found that Murchison did not prevent the combination of investigative, charging, and decisionmaking functions in members of an agency, nor did it purport to question the provisions of the APA. Withrow, 421 U.S. at 53.

assumption.¹⁹ We find that the assumption extends not only to the Commissioners, but to the attorneys in the General Counsel's office who advise them. Compare Grolier, 615 F.2d at 1220.²⁰ We also note that MPA has not made an allegation of personal bias or personal interest against the FMC staff in this case.

The first case cited by MPA for its due process argument, American General Ins. Co. v. Federal Trade Comm'n, 589 F.2d 462 (9th Cir. 1979), involves an agency member with voting responsibilities who had previously been involved in the proceeding as a General Counsel, signing a brief before an appeals court. The Ninth Circuit applied statutory provisions and customary practices regarding the recusal of judges to the FTC Commissioner. Under such an analysis, the court ruled that the FTC member should have disqualified himself from the proceeding. These facts render the cited case inapposite, as the instant proceeding involves attorney-

¹⁹ See also Dovle v. Secretary of Health and Human Servs., 848 F.2d 296, 302 (1st Cir. 1988):

Dr. Doyle claims that the PRO's [peer review organization's] recommendation deprived him of "property" or "liberty" without due process of law because the PRO was "biased" against him. Insofar as this argument rests upon the PRO's dual role as prosecutor and judge, the Supreme Court has explicitly rejected it. Withrow v. Larkin, 421 U.S. 35.

²⁰ See also Greenberg v. Bd. of Gov. of Federal Reserve System, 968 F.2d 164, 167-8 (2nd Cir. 1992) (the lack of "decisional authority" of a law clerk who engaged in dual functions caused the risk of due process violations to be lower than what was tolerated in Withrow).

advisors and not a voting agency member.

MPA also cites three cases (all pre-Withrow) in which courts have found a due process violation when the adjudicator's involvement on behalf of one of the parties was so deep as to rebut the presumption of his impartiality. In one case, American Cyanamid Co. v. Federal Trade Comm'n, 363 F.2d 757 (6th Cir. 1966), several drug companies, charged with violating the Federal Trade Commission Act, appeared before the FTC. After the FTC issued its final order, the drug companies appealed, asserting that the participation of the FTC chairman in their hearing amounted to a denial of due process, as the chairman had formerly served as chief counsel of a Senate subcommittee which had conducted an investigation of the same facts and same parties involved in the hearing. The Sixth Circuit agreed, and vacated the decision of the FTC. The court's decision rested, in large part, on documents prepared by the FTC chairman or his staff during his tenure at the subcommittee; the conclusory tone of the documents suggested that the chairman had prejudged the factual questions at issue in the FTC hearing. The court was careful to point out that its "decision on this issue goes no further than to hold that disqualification is required when . . . the . . . investigation involved the same facts and issues concerning the same parties named as respondents before the administrative agency." 363 F.2d at 768. This holding is somewhat at odds with Withrow's assumption of impartiality, but

more importantly, presents factual issues not present in this proceeding, as there was neither an investigation nor a prosecution of MPA by the Commission. Also, the case involves a voting agency member, not an attorney-advisor.²¹

MPA also cites Trans World Airlines v. Civil Aeronautics Bd., 254 F.2d 90 (D.C. Cir. 1958), in which a Civil Aeronautics Board ("CAB") adjudication was found to violate due process because one of the CAB members (in his previous position as Solicitor of the Post Office Department) had signed a brief for one of the parties in the adjudication. When the issue addressed in the brief (the tax treatment of emergency facilities) came before the CAB for review, the tainted CAB member cast the deciding vote. Remanding the case to the CAB, the Court of Appeals noted:

The fundamental requirements of fairness in the performance of such functions require at least that one who participates in a case on behalf of any party, whether actively or merely formally by being on pleadings or briefs, take no part in the decision of that case by any tribunal on which he may thereafter sit.

Id. at 91. This holding is premised on a factual circumstance not present in our proceeding: a tainted agency member, rather than a staff attorney. Therefore, the D.C. Circuit's holding forbidding decisional participation of an agency member in a case on "any

²¹ Furthermore, the case has been interpreted as turning on the fact that actions that occurred before the agency proceeding started may have affected the outcome. See Duffield v. Charleston Area Medical Center, Inc., 503 F.2d 512, 518 (4th Cir. 1974) (finding a distinction between extrajudicial opinions and opinions arising from participation in a case).

tribunal on which he may thereafter sit" specifically addresses a Commissioner, not an advisor to a Commissioner, and is inapposite on its facts. Furthermore, the case involves an agency member who represented one of the parties to the litigation before joining the agency; here, no agency attorney-advisor has represented either private party to the litigation.

Probably the furthest extension of due process jurisprudence into separation of functions came in the final case cited by MPA, Amos Treat & Co. v. Securities and Exchange Comm'n, 306 F.2d 260 (D.C. Cir. 1962). In that case, the court enjoined an SEC proceeding because a commissioner had served as the director of the SEC bureau which supervises investigators. The injunction was granted even after the SEC announced its intention to honor the commissioner's request not to participate in the case. Amos Treat probably is no longer law, as it appears irreconcilable with Withrow and Blinder. See National Rifle Ass'n v. U.S. Postal Serv., 407 F. Supp. 88, 92 n.3 (D.D.C. 1976) ("Professor Davis finds Amos Treat to be an 'extreme case,' standing for a doctrine that has 'a rather limited future, if any.' [citation omitted]. The reasoning in [Withrow v.] Larkin substantiates this evaluation."); Davis, supra note 17, § 9.9 at 101 ("The Amos Treat case has not been followed.")

In sum, the cases relied on by MPA present factual situations that are not similar to the case at bar, as they largely involve

agency members and not attorney-advisors. But even if the same rule applied to both, section 554(d)(2)(C)'s exception as well as Supreme Court precedent in Withrow appear to protect the type of dual function at issue in this proceeding from due process challenges. Finally, several of the cases relied on by MPA appear to have been rendered bad law by Withrow. For all of these reasons, the Commission has determined that principles of due process do not forbid an attorney representing the Commission on appeal from providing legal assistance in the remand adjudication before the agency.

2. Ex parte contacts

MPA argues that section 557(d)(1) of the Administrative Procedure Act forbids ex parte communications between an interested person outside the agency and anyone involved in the decisionmaking process of a proceeding. MPA asserts that ex parte communications were "virtually certain" to have occurred, though it produces no evidence of any such communications. MPA Petition at 7. MPA requests that the Commission use this as a further basis for erecting a Chinese Wall, or, in the alternative, that the Commission permit MPA to engage in discovery to find out about any ex parte communications.

Ceres counters that ex parte rules do not apply to contact between Ceres and FMC staff during the appeal because (1) APA ex parte rules apply to communications made during the agency

proceeding only; (2) the communication was encouraged by the Fourth Circuit; and (3) the communications were not ex parte because all involved parties had reasonable prior notice that collaboration between Ceres and the FMC would take place, and that such collaboration was in fact encouraged by MPA.

Ceres convincingly challenges the applicability of ex parte proscriptions to the collaboration at issue in this proceeding. Ex parte communications are, by definition, not on the public record. All of the relevant product of the collaboration between Ceres and the agency staff is on the public record, in the motions and briefs presented to the Fourth Circuit. Furthermore, ex parte proscriptions address discussions as to which reasonable prior notice was not given. But MPA had prior notice that Ceres and the FMC staff would be collaborating, and had even encouraged such collaboration. Moreover, ex parte rules address ongoing agency cases. But here, there was no agency proceeding because the agency had issued its final order on the liability issues.

We find no merit to MPA's position that the prohibition on ex parte contacts in the APA applies to subsequent participation in a remanded proceeding by agency attorneys who were encouraged by a federal appeals court to cooperate with an outside party. The Fourth Circuit presumably did not intend that its joint brief/page limit requirements would have the effect of depriving the agency of the personnel most immersed in the proceeding should the appeals

court determine to remand the case. Nor has MPA presented any evidence that Congress appeared to contemplate such an outcome when it enacted the APA. "Excluded from the proscribed [ex parte] communications were those contacts that do not affect the way a given case is decided." Raz Inland Navigation Co., Inc. v. Interstate Commerce Comm'n, 625 F.2d 258 (9th Cir. 1980) ("Raz Inland Navigation"). We have concluded that the contacts between FMC staff and counsel for Ceres have had and will have no impact on the Commission's decisionmaking in the remanded proceeding.²²

The ex parte rules that normally apply in an agency proceeding will protect MPA. Ceres will not be able to make ex parte contacts now that the proceeding is before the Commission again. This is the protection contemplated by the APA, and it will be sufficient to ensure a fair hearing on the remanded issue. The Commission denies MPA's Petition on this ground.

3. Post hoc rationalizations

MPA also contends that the rationale presented in the Commission's brief to the Fourth Circuit on estoppel is an

²² Moreover, it is by no means clear, even in the event that there were ex parte contacts, that a Chinese Wall would be the appropriate remedy. The APA provides for disclosing the ex parte communication and its content, 5 U.S.C. § 557(d)(1)(C), or requiring the violating party to "show cause why his claim or interest in the proceeding should not be dismissed, denied, disregarded, or otherwise adversely affected" because of the violation, 5 U.S.C. § 557(d)(1)(D), as the remedies for impermissible ex parte communications. Compare United States Lines, Inc. v. Federal Maritime Comm'n, 584 F.2d 519 (D.C. Cir. 1978).

"impermissible post hoc rationalization" that will "taint" the Commission's remand consideration of the estoppel issue. MPA Petition at 1-4. Ceres vigorously argues that the Commission must consider all possible rationales on remand, including the arguments found to be post hoc by the Fourth Circuit. Ceres Reply at 8-12.

The fault that the Fourth Circuit found with the Commission's decision was that the estoppel issue was not addressed. Slip Op. at 7 ("The FMC declined in this case to address the MPA's estoppel claim and therefore articulated no rationale for its decision."). The Fourth Circuit did not find the rationale explained in the FMC's brief to be erroneous, but instead that it could not be accepted because it was not contained in the agency's decision. Slip Op. at 7-8 ("The FMC has yet to give us the benefit of its expertise on estoppel in the terms of negotiated leases [footnote omitted], except for its argument on appeal that the issue was so meritless as to require no consideration. We may not accept an agency counsel's 'post hoc rationalizations for agency action.'" [case citation omitted]). If the Commission articulates on remand a convincing rationale fully addressing the estoppel argument, it will likely be affirmed by the Fourth Circuit. Thus, the Commission ought to examine all arguments in its consideration of the remanded issue, including the argument the Commission itself made to the Fourth Circuit.

As noted by Ceres, MPA's argument that post hoc

rationalizations are forbidden on remand is refuted by long-settled case law. In Securities and Exchange Comm'n v. Chenery Corp., 318 U.S. 80 (1943), the Supreme Court remanded a case for further agency consideration, refusing to affirm the agency's decision on a ground not advanced in that decision itself but solely in the agency's brief. On remand, the agency adopted the rationale advanced in its brief. This decision was affirmed by the Court in Securities and Exchange Comm'n v. Chenery Corp., 332 U.S. 194 (1947), thus indicating that an agency may not only consider a post hoc rationalization on remand, but may in fact adopt that rationale.

It would appear that the courts want the agency to consider all rationales on remand; the point is that the agency must articulate its rationale, so that the court may review that rather than lawyers' post hoc arguments. See Appalachian Power Co. v. Environmental Protection Agency, 135 F.3d 791, 821 n.44 (D.C. Cir. 1998) ("[W]e reject it now as an impermissible post hoc rationalization [citation omitted], but pass no judgment on its merit upon remand.") We find no basis for MPA's assertions that the Commission's decisionmaking process will be compromised by exposure to the arguments made in the Commission's brief to the Fourth Circuit. Indeed, the only imaginable compromise of the integrity of the Commission's review on remand would be a forced exclusion of certain arguments because of the forum in which they

had been made.

Moreover, because the arguments MPA claims will taint the Commission are in fact contained in the Court opinion and briefs and are thus easily accessible public information, it would serve no purpose to screen the Commission off from its staff attorneys who worked on the Fourth Circuit appeal. Such screening would not protect the Commission from becoming "tainted" from publicly available arguments.

MPA appears to have misunderstood the Commission's adjudicative responsibilities and processes. The Commissioners make the decisions, based, if they choose, on the staff attorney's advice.²³ MPA's assertion that the need for a Chinese Wall arises because "the decision-making process on remand must be protected from the danger that . . . lawyers' arguments - which are pure advocacy - not taint the Commission's consideration" of the issues, MPA Petition at 4, misperceives the nature of that decisionmaking process. Both parties will receive a fair hearing on the remanded estoppel issue, and a Chinese Wall is not necessary to ensure that this occurs.

²³ See Porter County Chapter v. Nuclear Regulatory Comm'n, 606 F.2d 1363, 1371 (D.C. Cir. 1979): "The contention of petitioners is evocative of a monolithic assumption that once members of a staff have taken a position, (a) their view is forever fixed and (b) it will infect other members of the agency with regulatory responsibilities. As appears from Withrow v. Larkin, however, there is a distinction between claims of 'structural' bias, against which there is a strong presumption, and individual bias."

4. Discovery

As an alternative to a Chinese Wall, MPA requests discovery to establish that "many arguments presented to the Fourth Circuit by the FMC were jointly arrived at by FMC personnel and Ceres counsel." MPA Petition at 2. MPA asks for leave to "(1) conduct discovery into the communications between Ceres and Commission staff . . . or (2) begin an evidentiary proceeding to determine 'the nature, content, extent, source and effect' of any communications that may have transpired between agency counsel and Ceres, and whether those communications might infect this case on remand." MPA Petition at 8. MPA cites Grolier, Portland Audubon Soc'y v. Endangered Species Comm., 984 F.2d 1534 (9th Cir. 1992), and Raz Inland Navigation, in support of its contentions, and avers that discovery or an evidentiary hearing are the "absolute minimum" required to ensure the integrity of the Commission's decisionmaking. MPA Petition at 8-9.

The Commission has concluded that such discovery is not necessary. Our holdings, supra, that (1) FMC staff were not prosecutors or investigators, (2) ex parte communications were not possible given the posture of the case, and (3) subsequent consideration of post hoc rationalizations are permitted on remand, lead to the conclusion that discovery would not yield any relevant information. Furthermore, it is not the case that MPA has alleged any personal bias on the part of the FMC staff, which personal bias

might be discovered through an evidentiary hearing or otherwise. There is an entire body of law addressing such bias, but because MPA has not made such a claim, those standards are not relevant. The Commission denies MPA's request for discovery or an evidentiary hearing.

5. Procedure on remand

As we noted above, supra at n.6, Ceres has requested that the Commission give MPA and Ceres "ten days from the date of the Commission decision on the [Chinese Wall] Petition to attempt to come to an agreement on a procedure and timetable to recommend to the Commission for disposition of the remand." Ceres Request at 2. MPA did not file a response.

It will be necessary in formulating a remand schedule to take into account whether additional briefs addressing the estoppel issue will be filed.²⁴ We therefore order MPA and Ceres, within 14 days from the date of this Order, to file with the Commission their positions and arguments as to whether additional briefing is necessary, or whether the record as it stands is sufficient for a

²⁴ The Fourth Circuit also expressed a desire for the Commission "to revisit its conclusion on the damages due to Ceres and to explain more fully its conclusion that Ceres should not have to prove the damages it actually suffered but that damages should equal the difference between the rates charged." Slip Op. at 8 n.2. This advice was offered "[i]n the event the FMC finds the MPA's estoppel challenge to be without merit." Id. In their consideration of whether additional briefs are necessary, the parties should apprise whether and how they will address the Fourth Circuit's suggestion regarding the damages issue.

determination of the estoppel issue. In these filings, MPA and Ceres should also indicate whether they have come to any agreement on a remand procedure and timetable, and should, if possible, present the Commission with a proposed schedule.

CONCLUSION

As a matter of law is not necessary to establish a Chinese Wall in this proceeding. MPA will get a fair hearing on the remanded estoppel issue, and the Commission's decision not to erect an internal wall will have no bearing on the fairness of the agency's decisionmaking process. In fact, the continued participation of the attorneys most familiar with the issues in this proceeding will ensure, rather than preclude, an appropriate resolution.

For the reasons set forth above, the Commission has determined to deny MPA's Petition, and to allow the parties an opportunity to address a remand procedure for the Commission's consideration of the estoppel argument through the filing of positions and comments.

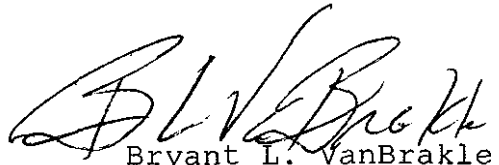
THEREFORE, IT IS ORDERED, That the Petition for a Chinese Wall is denied;

IT IS FURTHER ORDERED, That MPA's request for discovery or an evidentiary hearing is denied; and

IT IS FURTHER ORDERED, That MPA and Ceres file within 14 days from the date of this Report and Order, their positions on the procedure to be followed in the Commission's consideration of the

remanded estoppel issue.

By the Commission.



Bryant L. VanBrakle
Secretary

CONFIDENTIAL ATTACHMENT OMITTED

CONFIDENTIAL ATTACHMENT OMITTED

CONFIDENTIAL ATTACHMENT OMITTED

EXCERPTS FROM THE FMC'S
FEBRUARY 23, 1998 BRIEF TO THE COURT

the court remanded and directed the FMC to consider whether a port's charge violated §17 because stevedores received disproportionate benefits compared, inter alia, to vessel operators.

V. THE MEASURE OF REPARATIONS ORDERED BY THE FMC IS COMPELLED BY LONG-STANDING CASE LAW

The FMC held that the reparations due Ceres for MPA's violation of §§ 10(b)(11-12) are measured by the difference between the rates Ceres paid and the rates MPA was under a statutory duty to charge (i.e., the Maersk rates). J.A. 104 at 1690 n.48. MPA claims that reparations should instead be measured by the extent of "competitive injury." M at 31-32. However, MPA concedes that the rate differential, not competitive injury, is the proper measure of reparations in some §§10(b)(11-12) cases. e.g., "the Valley Evaporating line of cases." M at 32. MPA does not claim that Valley was wrongly decided, and indeed recognizes that Congress implicitly endorsed Valley in the 1984 Act. Id. The FMC found that the rationale of Valley applies here.² MPA disagrees.

The Valley holding on the measure of reparations was based on two grounds. First, it necessarily followed from the determination that a competitive relationship was not necessary to an unlawful preference or prejudice in that case (see pp. 18-19 supra). In some types of preference/prejudice cases, a competitive relationship is necessary to the violation; and where it is, it may be logical and appropriate to measure reparations by the extent of competitive injury -- which may actually be greater than the rate differential. 14 FMC at 24. However, the FMC in Valley reasoned that, where a competitive relationship is not necessary to the violation, it is illogical and inappropriate to measure reparations by reference to the extent of competitive injury:

"[W]e have already determined that the equality of treatment required here in this case is 'absolute' and not conditioned on competition. Therefore, the 'character, intensity and fact' of competition becomes irrelevant and the measure of damages simply becomes the difference between the rate charged and collected and the rate which would have applied but for the unlawful discrimination or prejudice." 14 FMC at 25 (emphasis added).

² J.A. 104 at 1687-90 & n.48. Ceres' brief contends that the rate differential was the appropriate measure of reparations for additional reasons, which it also urged below. The FMC did not consider it necessary to decide such alternative grounds.

Although the Decision under review emphasized this aspect of Valley, MPA fails to explain why. if the Court sustains the FMC's holding that no competitive relationship was required here. it could nonetheless make sense to measure reparations by the extent of competitive injury.

The second ground for the Valley reparations holding was that it followed from the finding that the respondent in that case, by establishing a criterion for granting lower rates. had assumed an "absolute" legal duty to apply the criterion evenhandedly to the complainant. which met the criterion. Because the respondent violated an absolute duty to make a clearly identifiable lower rate available. the "unlawful excess" was "akin to an 'overcharge,'" and hence in calculating reparations "the same principles apply" as in overcharge cases -- i.e. the complainant is entitled to recover the rate differential. 14 FMC at 25. MPA claims that Valley is limited to overcharge cases (M at 32); but that misses the point, because Valley itself was not an overcharge case. *viz.* the carrier did not charge more than its applicable tariff rate (the higher rate charged in Valley was the applicable tariff rate). The point of Valley is that, when a respondent establishes a criterion for granting clearly identifiable lower rates, its statutory duty to a customer meeting the criterion is "akin to" the duty of the respondent in an overcharge case -- both have an absolute duty to charge a clearly identifiable lower rate. Hence. the difference between that rate and the higher rate actually charged represents the exact measure of injury caused by breach of the legal duty.

Valley was explicitly followed in similar circumstances in General Mills v. Hawaii, 17 FMC 1 (1973). And it was explicitly followed in this case, because both grounds of Valley's reparations holding apply: (i) A competitive relationship between Ceres and Maersk is not necessary to the statutory violation: hence it is illogical and inappropriate to measure reparations by the extent of competitive injury. (ii) Having established a criterion for granting the Maersk rates to other entities, MPA was under an absolute statutory duty, akin to the duty in an overcharge case, to grant those rates to Ceres (which met the criterion); hence the rate differential is the measure of reparations.

Given the bases of the FMC's holding, MPA gets nowhere by string citing Shipping Act and Interstate Commerce Act cases in which reparations were measured by the extent of competitive injury. M at 3 1. The FMC does not contend that competitive injury is never the measure of injury

under §§10(b)(11-12), just as MPA (which does not claim that Valley was wrongly decided) cannot contend that competitive injury is *always* the measure. The question is whether the principle of Valley applies here, and the cases MPA cites do not answer that question because they concern facts to which the Valley rationale is inapplicable. None of them involved a situation **where** the respondent had failed to evenhandedly apply an established criterion for granting **lower** rates: none found a violation in the absence of a competitive relationship. There is thus no inconsistency between MPA's cases and the FMC's holding on very different facts here. See States Marine Lines v. FMC, 313 F.2d 906 (D.C. Cir. 1963) (affirming rate differential reparations and finding MPA's principal case (ICC v. US, 289 U.S. 385 (1933)) inapplicable). MPA's reliance on Ballmill (M at 32) is also misplaced because (i) the FMC in that case did not address the issue of rate differential reparations (presumably because the complainant did not seek such reparations, but rather asked for a larger award based on alleged business losses (11 FMC at 509-10)), and (ii) Ballmill was decided two years before Valley (and seven years before General Mills), so the later cases would in any event govern if any inconsistency were perceived.

Finally, MPA argues that the FMC's holding on reparations is precluded by the last sentence of § 11 (g) of the 1984 Act, which provides that the rate differential is the measure of injury (and hence reparations) for unjustly discriminatory rates that violate §§10(b)(6)(A-B) without mentioning rates that violate the preference/prejudice prohibitions of §§10(b)(11-12). MPA says that this represents a congressional decision to "codify" the **rule** of Valley but not to "extend" it to §§10(b)(11-12). M at 32. MPA's claim should be disregarded because it was not made below. Unempl. Comp. Comm'n v. Aragon, 329 U.S. 143, 155 (1946); Pleasant Valley Hosp. v. Shalala, 32 F.3d 67, 70 (4th Cir. 1994). In any event, the claim is substantively absurd.

Valley involved reparations for a rate that violated the preference/prejudice prohibition of §16 of the 1916 Act, which was incorporated into the 1984 Act without substantive change **as** §§10(b)(11-12). Valley did not involve the predecessor to §§10(b)(6)(A-B).^{10/} It is thus nonsensical

^{10/} The predecessor to §§10(b)(6)(A-B) was the **first** paragraph of § 17 (not to be confused with the (continued...))

to talk, as MPA does, about “extending” the Valley rule to §§10(b)(11-12). The rule is *about* §§10(b)(11-12). MPA’s argument boils down to the inane proposition that Congress “codified” the Valley rule and made it applicable to violations of §§10(b)(6)(A-B) -- to which it did not previously apply -- yet at the same time decided, entirely *sub silentio*, that the rule should be rendered inapplicable to the very cases it had always covered, which involved violations of §§10(b)(11-12).

In fact, the sentence of §11(g) mandating rate differential reparations for violations of §§10(b)(6)(A-B) is fully consistent with continued application of the Valley rule to cases involving §§10(b)(11-12), and is most reasonably viewed as congressional concurrence in that rule. A violation of §§10(b)(6)(A-B), like the violation in Valley, does not require a competitive relationship. See Distrib. Services, 24 SRR at 720. Thus, although there is no legislative history identifying its purpose, the last sentence of §11(g) appears to reflect Congress’ agreement with the Valley rationale that rate differential reparations are appropriate when no competitive relationship is required. No inference concerning §§10(b)(11-12) can be drawn from the fact that Congress did not specify rate differential reparations for §§10(b)(11-12), since many §§10(b)(11-12) violations *do* require a competitive relationship, and since §§10(b)(11-12) cover a much broader range of activities than §§10(b)(6)(A-B), many of which have nothing to do with rates. Given this, and given the re-enactment of the prohibition at issue in Valley as §§10(b)(11-12) of the 1984 Act, the only reasonable conclusion is that Congress intended to leave decisions as to the measure of reparations in particular §§10(b)(11-12) cases to the exercise of the FMC’s informed discretion in light of its long-standing precedents.

Nor is there any merit to MPA’s claim that the last sentence of §11(g) shows that rate differential reparations are an “exception” to the requirement of “actual injury.” The sentence on its face creates no exception to the injury requirement, but rather defines “the amount of the injury.”¹⁹

¹⁹ (...continued)

second paragraph of §17, which was the predecessor of §10(d)(1)). Like its predecessor, §§10(b)(6)(A-B) does not apply to ports and is not an issue in this case.

²¹ The Conference Report on the **final** bill similarly indicates that, except for **defined** cases in which (continued...)

Finally, the FMC's determination on the measure of reparations is entitled to substantial deference. As the Supreme Court explained in Consolo, 383 U.S. at 620-21. FMC determinations concerning the justness and measure of reparations "frequently rest upon a complex and hard-to-review mix of considerations," as to which "Congress place[d] a premium upon agency expertise." so that reviewing courts should hesitate "to substitute their discretion for that of the agency." See also Butz v. Glover Livestock Corn. Co., 411 U.S. 182, 185 (1973).

VI. THE FMC PROPERLY REJECTED MPA'S **ESTOPPEL**/ WAIVER CLAIM

MPA argues that Ceres is barred by "traditional principles of waiver and estoppel" because Ceres allegedly "induced" MPA to sign the lease without formally reserving its right to sue and did not file its complaint until 18 months into the lease term. M at 11-15. The FMC rejected this argument, finding that it "would, in effect, amount to penalizing a party for waiting the full [three-year] statutory period of limitation before bringing a claim." J.A. 104 at 1715 n.59.

MPA repeatedly claims that by rejecting its argument the FMC "departed" from "its policy of recognizing and applying traditional contract principles of estoppel and waiver." M at 12; see also M at 13 (the "FMC has traditionally applied these principles"); M at 15 (alleging FMC "departure from its own policy of applying waiver and estoppel defenses"). We respond by explaining that MPA has blatantly mischaracterized the FMC's actual policy and practice, which have consistently been to reject defenses such as MPA's as legally irrelevant under the 1984 Act.^{11'}

To understand the difference between this case and a case in which MPA's "traditional" estoppel/waiver principles might apply, the Court need look no further than page 15 of MPA's brief:

^{11'} (...continued)

double reparations were authorized, "[i]n all other cases. Section 1 l(g) will limit damages to the amount of actual injury." H.R. Conf. Rep. No. 98-600, 98th Cong., 1st Sess. 4 1 (1984).

^{12'} Ceres' brief contends that MPA mischaracterizes the facts and that, inter alia, Ceres put MPA on notice that it might sue if MPA refused it the Maersk rates; MPA gave Ceres a "take it or leave it" offer at a time when Ceres needed a Baltimore lease in order to avoid losing customers; and MPA said it would deny Ceres any lease if it attempted to reserve its rights in writing. Ceres further contends (as it did below) that MPA's defense would have to be rejected even if traditional estoppel/waiver principles were applicable. The FMC did not consider it necessary to reach such fact-based issues given its conclusion that MPA's defense is inapplicable as a matter of law.

"All Ceres had **to** do was to make clear to MPA that it intended to pursue its claims notwithstanding the terms of the lease negotiated by the parties. MPA then could **have** chosen either to sign the lease with that risk or to decline to enter into the lease. In either event, Ceres could have pursued a discrimination claim. If MPA had refused to sign, Ceres could have alleged an 'unreasonable refusal to deal' under section 10(b)(12) of the Act." (Emphasis added.)

The above-emphasized language precisely illustrates why estoppel/waiver principles that might apply to ordinary commercial contracts do not apply to a case, such as this one, in which one party was subject to a statutory duty to enter into the contract on specific terms. In the ordinary commercial context, there is no obligation to enter into a contract at all, much less on any particular terms; and a party's decision not to enter into the contract does not give rise to liability. Here, in contrast, once MPA entered into a lease with Maersk at greatly reduced rates based on a defined criterion, MPA became subject to an absolute statutory duty to enter into a lease at the same rates with Ceres (because Ceres was willing and able to meet the same criterion, see pp. 11-16 *supra*). As ***MPA necessarily recognizes when it states that Ceres could have pursued its Shipping Act claim even if MPA had not entered into any lease, that statutory duty is the ultimate basis of MPA's liability.***

Because that is so, **MPA's estoppel/waiver** claim, which is predicated on the notion that Ceres "induced" MPA to enter into a lease with Ceres, is irrelevant as a matter of law. The statutory duty that is the basis of liability in this case pre-dated Ceres' lease. It arose when MPA entered into *Maersk's* lease, and Ceres certainly did not induce MPA to do that.

For decades, it has been a basic tenet of Shipping Act jurisprudence that a party to a contract subject to Shipping Act requirements, by entering into the contract and thereby "inducing" the other party to perform, is **not** estopped **from** later bringing a complaint (including for reparations) alleging that the other party, through the terms of the contract, violated a Shipping Act duty. It is also long established that this principle applies even though the Act may prohibit the parties from deviating from the terms of the contract, i.e., it is not a prohibited deviation when a party obtains reparations and/or prospective relief on the ground that a contract term violated the Act.

For example, a cardinal requirement of the Act is that the transportation contract between carrier and shipper must not deviate from the carrier's applicable tariff rate. Notwithstanding this requirement, it was **firmly** established early in the administration of the 1916 Act that a shipper who

entered into a contract to ship under a carrier's tariff, even if it did so with full knowledge of another shipper's lower rate, is not estopped **from** later filing a Shipping Act complaint seeking reparations on the ground that the rate differential constituted an unlawful preference/prejudice. This was the precise holding of the FMC's predecessor agency in Am. Tobacco Co. v. Cie Generale Trans., 1 USSB 53, 55-56 (1923), 1 USSB 97 (1925), which was explicitly affirmed by the Second Circuit. Cie. Generale Trans. v. Am. Tobacco CO., 31 F.2d 663,667 (2d Cir. 1929).

In affirming that "the plea of estoppel may not be invoked" to bar a shipper from obtaining reparations on the ground that the carrier's applicable tariff rate was **unlawful** (31 F.2d at 667), the Second Circuit in Am. Tobacco relied on Supreme Court cases under the Interstate Commerce Act holding that estoppel may not be invoked to bar a carrier from recovering the difference between its applicable (and otherwise lawful) tariff rate and a lower rate that the carrier had agreed to charge, where the agreed lower rate violated the carrier's statutory duty to charge its tariff rate, Estoppel defenses are unavailable in such cases even when the equities strongly support the defendant shipper, **e.g.**, even when the plaintiff carrier misrepresented the lower rate as its tariff rate or induced the defendant to ship by agreeing to give it a discount. Indeed, the cases state that no act or omission of the plaintiff carrier ***other than failing to file suit within the statute of limitations period can*** preclude its recovery of the **unlawful** rate differential. Pitts. Etc. Railway Co. v. Fink, 250 U.S. 577. 582-83 (1919) (cited in Am. Tobacco); Louisville & Nashville R. Co. v. Central Iron Co., 265 U.S. 59, 65 (1924) (cited in Am. Tobacco) (**only running** of statute of limitations can bar suit); So. Pacific Transp. Co. v. Com'l Metals Co., 456 U.S. 336,352 (1982) (same). The same rule applies **under** the Shipping Acts. Flota Mercanta Gran Col. v. Florida Const. Equip. inc., 798 F.2d 143. **146-47** (5th Cir. 1986) (relying on So. Pacific statement that only running of statute of limitations can bar suit); Prince Line. Ltd. v. Am. Paper Exports, 55 F.2d 1053, 1055-56 (2d Cir. 1932); U.S. v. Seatrain Lines, 370 F. Supp. 483,484 (S.D.N.Y. 1973); Farr Co. v. Seatrain Lines, 20 FMC 663.665 (1978).

As these cases hold, a party is not estopped, by entering into and performing a contract regulated under the Shipping Act, from later filing suit seeking more favorable terms on the ground that the original terms violated a Shipping Act duty, even ***when (unlike the present case) the party***

(D.C. Cir. 1980) (group of members' failure to object to settlement agreement signed by another group could not be construed as **waiver**).¹⁵

MPA seems to think its **estoppel/waiver** defense is helped by repeatedly asserting that Ceres' lease became effective only after a comment period and an FMC decision not to disapprove it. M at 8, 12-13. MPA made no such claim below; and it is simply wrong: as FMC regulations provided and as file-stamped on the lease itself, the lease was effective immediately upon filing. 46 CFR \$572.307 (1992); J.A. 46 at 403. In any event, the principles **of the** above cases apply even when the contract at issue was affirmatively approved by the FMC, as was the case in Ballmill, A/S Ivarans, Port Auth. of NY, and River Plate. Nor is **MPA's** estoppel claim saved by the fact that parties to a filed agreement are subject to a general statutory duty to operate in accordance with its terms. In all the above cases, the Act required the parties to operate in accordance with the terms of the challenged contract or tariff, but that did not preclude one party from complaining that a contract **term** violated the Act (and seeking reparations, as in Am. Tobacco and Kuehne & Nagel, and as in Valley and General Mills).

In sum, MPA concedes that its refusal to give Ceres the Maersk rates subjected it to a Shipping Act claim by Ceres whether or not MPA and Ceres entered into a lease. M at 15. The Act provides that Ceres had three years to bring that claim (\$1 l(g)). Ceres did so in half that time. Given the legal irrelevance of the **estoppel/waiver** principles MPA invokes, no act or omission of Ceres could bar its complaint other than a failure to sue within the three-year period (see p. 32 supra). The FMC properly found that sustaining **MPA's** defense would have been tantamount to repealing the applicable statute of limitations.

¹⁵ MPA completely mischaracterizes the D.C. Circuit's earlier opinion in N.Y. Shipping Ass'n v. FMC, 571 F.2d 1231 (D.C. Cir. 1978). M at 13-14. There, an association entered into a **settlement** agreement with one group of members. A second group of members objected to the settlement at the time and reserved its right to assert claims in regard thereto. A third group of members did not object to the settlement at the time. 571 F.2d at 1236-37 & n.15. MPA characterizes the case to make it seem that the court affirmed the FMC in holding that the third group had waived its claims by not objecting. In fact, the third group had not yet attempted to assert any claims; and when it did, the FMC and court held it **could** assert them and its failure to object at the time was nor a waiver. Agreement T-7336, 18 SRR 275, 278-80 (1978) and N.Y. Ship. Ass'n, 628 F.2d at 257-59.

EXCERPTS FROM CERES'
FEBRUARY 23, 1998 BRIEF TO THE COURT

Adoption of FMC's brief. Ceres Marine Terminals, Inc. adopts and incorporates by reference the entirety of the January 26, 1998 brief of the Federal Maritime Commission (cited as "F at ____"). Abbreviations and citation conventions used herein are the same as in that brief.

Statement of supplemental issue. In several instances when the FMC decided an issue below, it did not consider it necessary to reach alternative grounds (which had been properly presented by Ceres) for reaching the same result. [F at 18 n.5, 26 n.9, 30 n.12, 39 n.20] This raises the issue whether, *if the* Court's disposition of the issues briefed by the FMC makes it **necessary** to decide any such alternative grounds in order to **finally** resolve the case, the **Court** should remand to the FMC to do so in the first instance.

Statement of supplemental facts. (1.) **Estoppel/waiver** claim. The FMC did not make fact findings addressed to MPA's **estoppel/waiver** defense, which it found legally irrelevant. [F at 30-35] If the FMC had made such fact findings, it would necessarily have considered the testimony and briefs of Ceres, which show that the fact assertions on these issues in MPA's brief are highly misleading, and which establish. *inter alia*: (i) Ceres repeatedly attempted to obtain the Maersk rates (offering to meet or exceed **Maersk's** guarantees), but MPA consistently rejected those attempts. Ceres gave MPA notice that it might file an FMC complaint if it did not receive the Maersk rates. (ii) MPA ended negotiations by giving Ceres a "take it or leave it" ultimatum with respect to MPA's last offer, which included the excessive rate differential. This put Ceres in a difficult position, because it was under extreme pressure to sign a lease from customers who did not want their **MTO** to be subject to eviction, and because Ceres' relations with its customers would have been hurt nationwide if it had abandoned them in Baltimore. (iii) It is highly disingenuous for MPA to repeatedly stress that Ceres did not formally "**reserve**" its right to sue, because MPA told **Ceres** that it **would** be denied a lease if it attempted to sign subject to such a reservation. (iv) Given the above, MPA **cannot** reasonably have believed that Ceres intended to relinquish its Shipping Act rights by signing the lease; nor can MPA credibly claim that "Ceres' conduct induced MPA to sign." [M at 13.] (v) Ceres did not file a complaint immediately after signing because it first made good faith attempts to render its operation viable (*inter alia*, by exploring a merger with another MTO). See

141,138 (4th Cir. 1989). These issues are heavily fact dependent, and as such must be initially considered -- if they are to be considered at all² -- by the trier of fact. Tidewater Equip. Co. v. Reliance Ins. Co., 650 F.2d 503,506 (4th Cir. 1981); In re Adventis Living Ctrs., Inc., 52 F.3d 159, 163 (7th Cir. 1995).

MPA does not even attempt to explain how the Court -- in the absence of any supporting findings by the agency that tried the facts -- could possibly conclude that MPA proved below the requisite elements of a traditional **estoppel** defense. (i) What was Ceres' false representation or material fact concealment? MPA does not say? (ii) What material facts did MPA not know? MPA does not say; but it **did** know that Ceres had given written notice it might sue; and it **did know** that Ceres needed a lease and that it had given Ceres a "take it or leave it" offer and threatened to deny Ceres any lease if it formally reserved its rights. (iii) What was **MPA's detrimental** reliance? MPA appears to claim [M at 13] that it detrimentally relied by signing and performing the lease. But MPA, which does **not (and** on this record cannot) claim that anyone else would have entered into a lease at the rates it imposed on Ceres, failed to provide any testimony showing that it has been left in a worse position than it would otherwise be in. *e.g.*, no testimony identifying that it had a viable alternative other than leaving the area unleased. Moreover, the investment in cranes that MPA cites as reliance [M at 15] occurred long after Ceres **filed** its complaint.

MPA has similarly failed to identify any basis upon which the Court could conclude, in the absence of supporting findings below, that MPA proved the elements of a traditional waiver defense, which **would** require MPA to show that Ceres "**intentional[ly]relinquish[ed]** a known right" notwithstanding a tribunal's disinclination "lightly to presume that valuable rights have been conceded in

² The FMC has explained why the defenses are irrelevant under the Shipping Act. [F at 30-35] The same result applies in analogous situations under other statutory schemes. Perma Life Mufflers v. Int'l Parts, 392 U.S. 134 (1968) (antitrust); Bateman F. R. v. Berner, 472 U.S. 299 (1985) (securities); Scott Paper v. Marcalus Mfg., 326 U.S. 249 (1945) (patent).

³ Below, MPA claimed on brief that Ceres' president Kritikos "secretly" contemplated litigation at the time he signed the lease. [MPA Expt p. 70 (JA 1422)] We noted in response Kritikos' undisputed **testimony** that he decided to file a complaint only **after** exploring options for making Ceres' operation viable. [Ceres 11/26/96 Reply pp. 39-40 (JA 1472-73)] MPA does not repeat the claim to the Court.

the absence of clear evidence to the **contrary**." U.S. v. Stout, 415 F.2d 1190, 1192-93 (4th Cir. 1969). Here, there was no express waiver, and MPA has made no attempt to explain how Ceres' above-summarized evidence could possibly permit an inference that it intended to relinquish its right to file an agency complaint.

(2.) Competitive relationship. Although the FMC did not need to reach the issue because it properly found that no competitive relationship or injury was necessary to MPA's statutory violations [F at 18-19], the above-summarized facts showing **significant** competitive interactions and injury would, in any event, distinguish the cases on which MPA relies [M at 24-29] for its purported competitive relationship and injury requirements.

(3.) Measure of reparations. Because the FMC properly found that, under the Valley [14 FMC 16 (1970)] line of cases, Ceres was entitled to reparations for MPA's §§10(b)(11-12) violations measured by the difference between the Maersk and Ceres rates, the FMC did not need to reach the issue of whether the same measure was compelled by the case law under §10(d)(1). [F at 26-30] It was, as Ceres demonstrated below. Secretary of the Army, 24 SRR 17.32 (ID), *adopted in relevant part*, 24 SRR 595 (1987): D at 81 (JA 1682); Ceres 11/26/96 Reply pp. 191-92 (JA 1574-75). The FMC similarly did not need to reach another alternative ground advanced by Ceres, *viz.*, that the rate differential is the proper measure of reparations under both §§10(b)(11-12) and §10(d)(1) because the Maersk rates effectively capped what Ceres could charge its customers, Int'l Trading v. IL River Line Pier, 8 FMC 145 (1964). *rev'd on other grounds*. 399 F.2d 413 (1st Cir. 1968): Ceres 11/26/96 Reply pp. 189-90 (JA 1572-73).

(1.) Interpretation of lease concerning barged containers. The FMC found that the clear terms of Ceres' lease required that containers carried on barges be counted against the container guarantee even though they are not subject to the rate schedule of the lease. MPA argues that this could not have been the parties' **intent** because the barge operator using Ceres' terminal at the time Ceres' lease was negotiated -- Hale -- had its own container guarantee. However, it was only when Hale moved from the Ceres terminal to the Universal terminal that a guarantee of the type at issue here -- of container throughput, or its equivalent, of terminal revenue to MPA -- **was added to**

CERES' GLOSSARY
OF CITATION CONVENTIONS

GLOSSARY OF CITATION CONVENTIONS

Written Direct Testimony

Ceres Witnesses

Christos N. Kritikos (Ex. **Ceres-1**)
Erl Thompson (Ex. **Ceres-2**)
Edward M. Heinlein (Ex. Ceres-3)

"Kritikos ¶ ____"
"Thompson ¶ ____"
"Heinlein ¶ ____"

MPA Witnesses

James R. **Brennan** (Ex. MPA-1)
Adrian G. **Teel** (Ex. MPA-4)

"Brennan ¶ ____"
"Teel ¶ ____"

Written Rebuttal Testimony

Ceres Witnesses

Frank Clark (Ex. Ceres-4)

"Clark ¶ ____"

MPA Witnesses

James R. Brennan (Ex. MPA-2)
George DeHority (Ex. MPA-3)
Adrian G. **Teel** (Ex. MPA-5)
Eugene R. Bailey (Ex. MPA-6)
James J. White (Ex. MPA-7)

"Brennan Rebuttal ¶ ____"
"DeHority ¶ ____"
"Teel Rebuttal ¶ ____"
"Bailey ¶ ____"
"White ¶ ____"

Exhibits Accompanying Written Testimony

Kritikos Exs. **1-56**
Thompson Exs. 1-10
Heinlein Exs. **1-16**
Clark Ex. 1
Brennan Direct Exs. **1-8**
Teel Direct Exs. 1-19
Brennan Rebuttal Exs. 1-17
DeHority Exs. 1-12
Teel Rebuttal Ex. 1
Bailey Exs. 1-13
Ceres Counsel Exs. 1-69
MPA Counsel Exs. 1-7

"Ex. CK- ____"
"Ex. ET- ____"
"Ex. EH- ____"
"Ex. FC- ____"
"Ex. Brennan- ____"
"Ex. Teel- ____"
"Ex. JB- ____"
"Ex. GD- ____"
"Ex. AT--"
"Ex. EB- ____"
"Exs. DK,"
"Exs. LC- ____"

Transcripts of Cross Examination Hearing

Christos N. Kritikos Examination

Erl Thompsen Examination

George **DeHority** Examination

James R. Brennan Examination (March 11)

James R. **Brennan** Examination (March 12)

James R. **Brennan** Examination (March 13)

James R. Brennan Examination (March 25)

"Kritikos Tr. ____"

"Thompsen Tr. ____"

"**DeHority** Tr. ____"

"Brennan I Tr. ____"

"Brennan II Tr. ____"

"Brennan III Tr. ____"

"Brennan IV Tr. ____"

Exhibits Introduced at Cross Examination Hearing

Hearing Exs. 1-66

"Ex. **H-** ____"